Hong Kong Institute of Certified Public Accountants
香港會計師公會

Qualification Programme Examination Panelists' Report

Module D –Taxation
(December 2019 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

This section is a case study of a financial group covering a wide range of topics, from the source issues relating to profits tax and salaries tax to the newly in-force two-tiered tax rate regime. It was better than expectation that a number of candidates scored satisfactory marks in the new topics. The performance in other parts were generally fair. In particular, the candidates did not present their answers well with relevant source principles and case laws in answering the questions about the source of commission and brokerage services fee income. In discussing the issue of change of intention of holding a property, most candidates tended to throw out the badges of trade without due consideration and following the guidance clearly stated in the question. This resulted in an unsatisfactory performance in that part of question.

Specific Comments

Question 1(a) – 6 marks

This question required candidates to discuss the criteria for an entity to be qualified for the two-tiered profits tax rates. This should be a straight-forwarded question and the candidates should focus on the law and the discussion of connected entity. The performance in this section was polarised as many candidates appeared not familiar with this new topic but those competent candidates were able to demonstrate their knowledge with high marks awarded. Some candidates incorrectly gave answer with the upper limit of assessable profits that could be taxed at half tax rates (i.e. $2M) but this is irrelevant to this question. The candidates are particularly advised to closely follow the recent government's policy change and the evolving of tax laws.

Question 1(b) – 6 marks

This question tested the candidates' knowledge on how to apply the concept of connected entity so as to ascertain the eligibility of the entities in question for making election for the two-tiered profits tax rates. Likewise, the performance of this question was polarised as part (a). Some candidates were able to support their answers by well-depicted group chart with calculation of ownership and control of each of the entities involved. Some other candidates did not have a clear concept of connected entities and were unable to identify the entities that were connected with each other under the two-tiered tax rate regime.

Question 2(a) – 8 marks

This question required candidates to recall the source principle in respect of brokerage income derived from brokerage business. It is a straight-forward question which required the candidates to precisely provide the principles derived by certain renowed case laws and DIPN No.21 (Revised) which are relevant to brokerage income. In general, candidates were able to understand the question requirement and quote the relevant cases such as Hang Seng Bank case and TVBI case as foreword and narrow down the scope to apply relevant cases to discuss the agency principle such as Kwong Miles case and ING Baring case. Some candidates quoted other rules and principles which were irrelevant to this question such as contract effected test. In general, the performance in this question was satisfactory.

Question 2(b) – 4 marks

This question required candidates to apply the principles in part (a) to determine the source of the brokerage income and rebate from brokerage services. The performance in this question was slightly below expectation. Some candidates were not familiar with the source principle in respect of brokerage income and therefore an in-depth analysis on this particular income was rare from the candidates' answers. They merely focused on the marketing and promotion activities carried out in Hong Kong and hence drew a conclusion that the income was taxable in Hong Kong without a comprehensive consideration. A discussion of the source principles from a general view was common but the citing of relevant case laws such as ING Baring case and Wardley case was not frequently found.

Question 3(a) – 3 marks

This question required candidates to discuss how to tax rental income received by a corporation in Hong Kong. Notwithstanding that nearly half of the candidates could award high marks in this question, a number of candidates misunderstood the question requirements and gave irrelevant answers such as stamp duty, salaries tax, the calculation of NAV etc. Some of them did not realise that rental income is chargeable to both property tax and profits tax. In general, the performance in this question was satisfactory.

Question 3(b) – 2 marks

This question required candidates to demonstrate their knowledge about the filing liability of a corporation exempted from property tax under s.5(2)(c) of the IRO when the ownership or use of a property owned by that corporation was changed. However, most candidates did not score any marks as they did not have any idea of this topic and gave wrong answer such as stamp duty obligation. The performance of the candidates in this question was generally poor.

Question 3(c) – 8 marks

This question required candidates to discuss the change of intention in holding a property. The candidates were expected to have knowledge of the recent development in case law about this issue (i.e. *Church Body of the Hong Kong Sheng Kung Hui v CIR* [(2010) HCIA 2/2009] and *Hong Kong Sheng Kung Hui Foundation v CIR* [(2010) HCIA 3/20098][(2014) CACV 41/2010] and [(2016) FACV 16/2015]). However, the performance in this question was poor as most of them had lost their focus. They generally mixed up issue of change of intention with the discussion of six badges of trade. A note had been provided in the question with a view to guiding candidates to answer this question but, unfortunately, it appeared to have been ignored. The candidates should have well awareness of the recent development of case laws and pay attention to the instruction in the question.

Question 4(a) – 5 marks

This question required candidates to determine the source of employment income derived from secondment to Hong Kong under a non-Hong Kong employment. The performance in this question was satisfactory. Most candidates were able to identify the employment sourced outside Hong Kong. Some other candidates incorrectly stated that Tycoon Bank HK was the employer. Not all candidates discussed the applicability of s.8(1B) exemption, with some candidates wrongly identifying Bill as a visitor.

Question 4(b) – 8 marks

This question required candidates to discuss the taxability of gains on share option which were realised by an employee during different stages of his secondment to Hong Kong, with supporting calculation. Most candidates were able to quote the basic provisions of the IRO in answering the question (i.e. ss.9(1)(d) and 9(4)). However, not many candidates realised that Trache A options were not subject to salaries tax in Hong Kong as they had been vested prior to the commencement of the Hong Kong assignment. Even many candidates were able to calculate the gain on Tranche B, a number of candidates incorrectly apportioned the gains subject to salaries tax with erroneously adopted number of days in Hong Kong during the vesting period (i.e. 216 days, no. of days in Hong Kong each month x 12) instead of 90 days (i.e. no. of days from 1 April to 31 August 2018). In general, the performance in this question was satisfactory.

(II) Section B – Essay/Short Questions

General Comments

The questions in this section covered an extensive range of contents including discussions on penalty provisions for filing of incorrect profits tax returns, ethical consideration in providing tax services, evaluation on Hong Kong tax exposures from different perspectives with respect to gain derived from incidental research and invention, analysis on stamp duty implications regarding execution and cancellation of sale and purchase agreement for immovable properties, generic China tax issues with respect to dividend payment by a PRC company, and computation of tax liabilities under personal assessment. The performance in this section was fair. Similar to prior examination sessions, candidates generally could properly address the questions on computation of tax liabilities. Yet the performances on qualitative analysis with reference to pragmatic circumstances were consistently below standard. It should also be noted that candidates' performance in China tax was again far below expectation. Candidates should address these imbalanced performances proactively onward.

Specific Comments

Question 5(a) – 8 marks

This question required candidates to discuss the penalty exposures regarding incorrect profits tax returns filing. The performance in this question was very satisfactory. Many candidates could properly identify the issues and discuss the respective penalty exposures under different provisions. However, some candidates wrongly addressed s.70A claim as correction of errors and omissions, and some of them erroneously discussed hold-over application procedures. This indicated that those candidates might not interpret the background information and question precisely.

Question 5(b) – 4 marks

This questions required candidates to identify the ethical considerations on the actions to be done regarding the finding of incorrect tax returns in prior years. The performance in this question was fair. Some candidates correctly identified the relevant actions in line with appropriate ethical considerations. Yet some other candidates provided incorrect answers by referencing irrelevant ethical considerations. Candidates should read the background information and evaluate the issue carefully in line with appropriate ethical considerations.

Question 6 – 10 marks

This question required candidates to evaluate the chargeability of salaries tax and profits tax with respect to the gain generated from the disposal of a patent derived from an invention. The performance in this question was considerably below expectation. Only a few candidates properly focused their analysis on the correct approaches in the ways of evaluating whether the gain should be recognised as employment income derived from employment services, or profits assessable to profits tax derived from trade, profession or business on inventing new materials for registration as a patent. Yet many candidates did not address the question in a proper context. Specifically some candidates wrongly discussed the issue along source of employment, s.9A regarding Type I or Type II arrangement, and s.16E regarding deduction on patents, etc. In examination contexts the background information could be analysed and evaluated in different perspectives, and therefore candidates should read the questions carefully. Candidates should also spend some time structuring their answer systemically in order to avoid losing the track in writing the answer, and at the same time to avoid wasting their valuable time. Essentially the length of candidates' answer had no direct and positive relationship with the quality and marks to be answered.

Question 7 – 9 marks

This question required candidates to analyse the stamp duty implications on the execution and cancellation of a sale and purchase agreement for residential properties. The performance in this question was slightly below expectation. Generally candidates could understand the question and provide basic conceptual framework in their answers. However, only some candidates could properly address the respective relationship of the buyers, and correctly identify the applicable rates in assessing Ad Valorem Stamp Duty. Only a very few candidates properly discussed the stamp duty implications upon the cancellation of the sale and purchase agreement. This indicated that candidates' knowledge in this perspective was not adequate.

Question 8 – 5 marks

This question required candidates to analyse the China tax implications with respect to the payment of dividend by a mainland company and the subsequent re-investment. The performance in this question was far below expectation, and was the worst in this section. Essentially many students did not attempt this question at all. Only some candidates could properly address the question from the China withholding tax perspective, and only a very few candidates correctly identified the reduction of withholding tax rate based on the Hong Kong/ mainland tax treaty arrangement. The performance again indicated that candidates persistently did not pay adequate attention to China tax. It is not appropriate and should be addressed properly.

Question 9 – 14 marks

This question required candidates to prepare computation on tax liabilities under personal assessment. The performance of this question was satisfactory. Candidates generally could prepare the computation in line with the specific framework on a systematic basis. However, some common mistakes could be found along the answers prepared by candidates. These included the omission of 20% statutory deduction in ascertaining the net assessable value for properties, deduction of mortgage interest beyond net assessable value, and omission of adding back the interest on capital in calculating assessable profits. This indicated that generally candidates' understanding on the tax knowledge and technique in computation had room for improvement.

(III) Conclusion and Recommendation

Over the years, the tendency of relatively good and poor performances in computational and analytical questions respectively persisted in this Module. In addition, candidates' knowledge of China tax, cross border activities and tax treaty arrangement was also inadequate and below expectation. Candidates should address these issues in order to obtain a balanced performance in the examination, and a satisfactory result thereon. As per prior sessions' recommendations, candidates should also read the questions carefully in order to avoid confusion. For analytical questions allocated with substantial marks, candidates should construct a comprehensive skeleton and manage time allocation. Specially, candidates should attempt all questions and avoid spending excessive time on a few analytical questions by copying substantial materials from their Learning Pack without effective analysis.